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Local Tourism Dividend

ACT will return $1 to local communities for every commercial guest night they host. This will support the roads, wastewater, public toilets, rubbish collection and other services visitors rely on, without imposing a new bed tax on tourists or accommodation businesses.

Tourism brings enormous benefits to New Zealand, but the communities hosting visitors also face the costs. Tourists already pay tax in New Zealand through GST and the International Visitor Levy. That revenue is collected by central government, while councils and their ratepayers are left paying for many of the local services tourism depends on.

Visitor numbers put pressure on local roads, wastewater systems, public toilets, rubbish collection, freedom-camping facilities, public spaces and other council infrastructure. Tourism and major events can also generate significant economic activity for towns and cities, but councils have limited ability to capture the additional tax revenue that flows from that activity.

01 A dollar for every commercial guest night

ACT will establish a Local Tourism Dividend, returning $1 to a local community for every commercial guest night it hosts.

Every territorial authority will receive an automatic annual payment based on the most recent completed 12 months of domestic and international commercial guest nights recorded within its boundaries through the Accommodation Data Programme.

Councils will not need to compete for funding, prepare applications, provide matching funding, or negotiate with central government. If a community attracts more visitors, its Dividend will increase. If guest nights fall, the payment will fall accordingly.

Using 2026 guest-night figures, the Dividend would provide approximately $40.6 million a year to local authorities, including $8.2 million to Auckland, $4.9 million to Queenstown, and $2.0 million to Rotorua.

This creates a simple incentive: communities that attract more tourists, and therefore face greater visitor-related pressure, receive more support.

The initial payment will be set at $1 per commercial guest night. This amount could increase in future years if government revenue allows.

The Local Tourism Dividend builds on ACT's approach to sharing growth-related revenue with local government. This term, ACT successfully secured a policy to share revenue with councils that enable more housing. The same principle should apply to tourism: where councils help enable economic activity that generates revenue for central government, they should share in the benefits.

02 No new bed tax

ACT will support tourism and event hotspots without imposing a new tax on visitors, New Zealanders, or accommodation businesses.

Some councils and political parties have argued that a new accommodation or bed tax is necessary to meet the cost of tourism infrastructure and events. ACT rejects that approach.

Central and local government already collect enormous amounts of revenue from New Zealanders and visitors. The challenge is not finding new things to tax, but using the money government already receives more effectively.

A bed tax is sometimes presented as painless because tourists will supposedly pay it. In reality, it is a cost on the tourism industry. A new charge on accommodation means higher prices for visitors, lower margins for accommodation businesses, or both.

Hotels, motels, holiday parks and other accommodation providers would also be forced to become tax collectors, administering and complying with another levy. These businesses should be focused on attracting visitors, employing New Zealanders, and supporting local economies, not processing another layer of tax and bureaucracy.

Giving councils another tax to increase whenever budgets are under pressure would create exactly the wrong incentives.

Instead, the Local Tourism Dividend will be funded through the existing tourism appropriation.

The Dividend is deliberately simple. It secures real funding for tourism communities while locking out another Labour-like tax on visitors and businesses.

03 Local communities decide where the money is needed

ACT will give councils flexibility to use the Dividend on the core infrastructure and services affected by visitor demand.

Funding will be able to support local roads, parking and visitor transport facilities, water and wastewater infrastructure affected by visitor peaks, public toilets, litter control and waste collection.

It can also support freedom-camping facilities and compliance, council-owned public spaces and visitor amenities, events infrastructure, and other core council services demonstrably affected by visitor numbers.

Queenstown faces different challenges from Auckland, Rotorua, Taupō or the West Coast. Councils will therefore retain discretion over how the Dividend is allocated within these purposes.

The Dividend may also replace rates funding already being used for eligible services. Relieving pressure on local ratepayers is an intended benefit of the policy.

This means councils can either invest more in infrastructure and services needed to support visitors, or reduce the burden currently falling on ratepayers.

04 Rewarding growth instead of taxing it

The Local Tourism Dividend creates a positive incentive for councils to support tourism growth.

Under a bed tax, attracting another visitor means collecting another tax. Under ACT's approach, attracting another visitor means the community receives a larger share of the economic benefits that visitor helps create.

Tourism is one of New Zealand's great competitive advantages. Successful tourism destinations support accommodation providers, hospitality businesses, retailers, events, transport operators and thousands of local jobs.

Government policy should make it easier for those businesses and communities to succeed, not punish them for attracting more visitors.

ACT's Local Tourism Dividend rewards the communities that make New Zealand a great place to visit, while locking out Labour-like taxes that only make it more expensive to do business and travel. By backing growth instead of taxing it, we can unlock the potential of our world-class tourism destinations, and ultimately the potential of New Zealand.